Cubans in the 1990s talked about what they called the “triple blockade.” First was the U.S. economic embargo, which had been in place since the early 1960s and was strengthened during the economic crisis of the 1990s with the Torricelli bill in 1992 and the Helms–Burton Act in 1996. Second was the disappearance of the Soviet bloc. Finally, the third blockade was the internal blockade: the bureaucracies, rules, and lack of imagination that made economic change a lumbering and difficult process.

Limits to Capitalism

Not all of the changes in the Special Period went in the direction of capitalism. As Susan Eckstein usefully pointed out, some Special Period reforms were aimed at maintaining and even strengthening the socialist sector. In most of Latin America, the debt crisis of the 1980s led to “structural adjustment” programs that included privatizations, cutbacks in government spending, and incentives to foreign investors. Cuba was already way ahead of the rest of Latin America in social spending: in 1990, Cuba spent 20 percent of its GDP on social services, including health care, social security, and education – twice the 10 percent that other Latin American countries spent.[13] But as Cuban economist Pedro Monreal explained in 2002:

> [Cuban] government policies to deal with the crisis were markedly different from the pattern of economic adjustment that other countries have adopted. Essential social services such as education and health care were provided universally and at no cost even in the worst moments of the crisis. Subsidized food – although in relatively reduced amounts – guaranteed a minimum level of nutrition, while other important social programs were designed to support particular social groups. Adherence to norms of fairness and social justice was the hallmark of Cuban adjustment policies during the 1990s.[14]

Julie Feinsilver notes that during the economic crisis “Cuba continuously increased its spending on domestic health as a percentage of total government spending in order to shield the most vulnerable